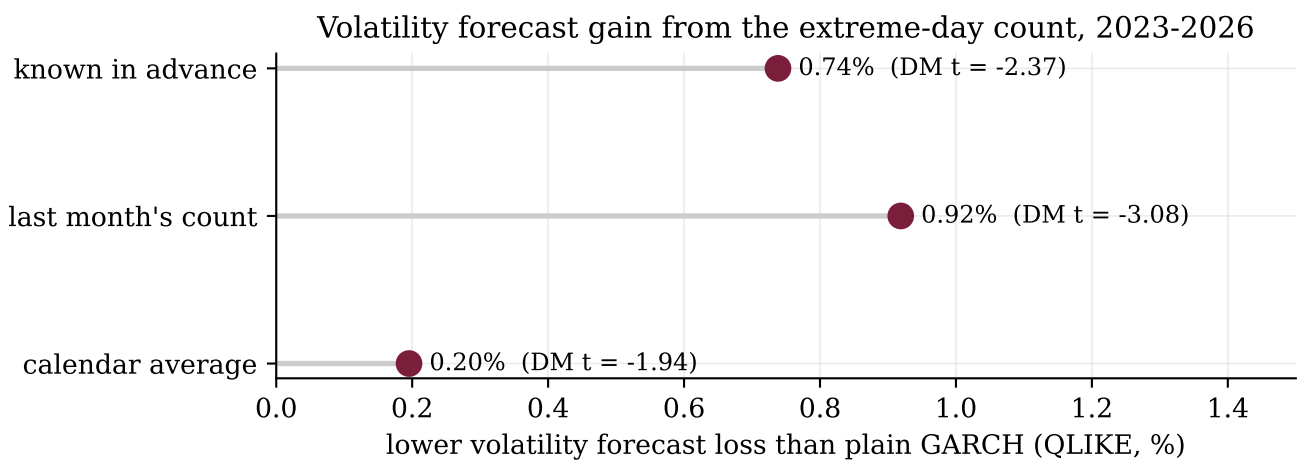
Volatility forecast gain from the extreme-day count, 2023-2026
known in advance
last month's count
calendar average
0.74% (DM t = -2.37)
0.92% (DM t = -3.08)
0.20% (DM t = -1.94)
0.0
0.2
0.4
0.6
0.8
1.0
1.2
1.4
lower volatility forecast loss than plain GARCH (QLIKE, %)